PARAMOUNT – CONFIDENTIAL INFORMATION MEMORANDUM

August 2026

Transforming into a technology-driven, efficient entertainment powerhouse by scaling profitable services

Fundamental Priorities	
Profitable streaming at scale	Direct-to-Consumer expansion, specifically Paramount+, is Paramount's top operational priority $1.5 billion in incremental programming investments starting in 2026
Expanding TV studio and film output	Increasing physical television and film production capabilities by expanding outputs via Paramount TV studios and CBS Studios
Multiplatform cost restructuring	Protect margins against the structural decline of traditional cable television Achieving at least $3 billion in run-rate operational efficiencies through 2027

Accelerating High-Margin Revenue Initiatives to Offset Linear Declines and Secure Profitability

Pillar	Examples
Streaming at scale	Maximising average revenue per user through increasing international subscription rates, and terminating all free trial windows for new users to force instant monetisation
Content monetisation	Leaning into third-party commercial exploitation by re-opening studios to license content, and expanding core cinematic pipeline for 15 – 20 theatricals per year
Operational trimming	Overhaul of overlapping operational roles, phasing out tech infrastructure across global regions to scale backend architecture of apps onto a singular platform

ARPU and Cost Efficiencies Driving Significant EBITDA Outperformance

Metrics	Previous 2025 Guidance	Estimated / Actual Q1 2026
Direct-to-Consumer Subscriber Growth	79m	79.7m
Average Revenue Per User	$ 8.40	$ 9.58
Overhead Costs	$ 6,120m	$ 4,774m
EBITDA	$ 140m	$ 1,790m

Condensed Consolidated Statement of Operations

2025 vs. 2026 actual and estimated performance (USD in Millions)

Line Item	2025A	2026E	2027E
Total Revenue	**$ 28,891**	**$ 29,245**	**$ 29,850**
(-) COGS	(19,695)	(20,089)	(21,093)
Gross Profit	$ 9,196	$ 9,156	$ 8,757
(-) Operating Expenses	(7,503)	(6,158)	(5,750)
EBIT	**$ 1,693**	**$ 2,998**	**$ 3,007**
(+) Depreciation & Amoritisation	794	798	802
EBITDA	**$2,487**	**$ 3,796**	**$ 3,809**

Free Cash Flow Generation & De-Leveraging Trajectory

Utilising enhanced operational earnings to aggressively pay down legacy corporate debt

Metric	2025	2026	2027	Strategic Execution
Operating Cash Flow	**649**	**1,734**	**1,728**	Strong conversion of EBITDA into cash, driven by reduction in working capital outlays.
(-) Capital Expenditures	(296)	(290)	(284)	Rationale non-core tech infrastructure and studio facility footprints to maintain a highly disciplined ~$290M annual baseline.
Free Cash Flow	**353**	**1,444**	**1,444**	Securing $1.4B+ in recurring annual cash flow available for corporate capital allocation.
Total Outstanding Debt	**13,629**	**13,197**	**12,624**	Retiring near-term maturing senior notes to cut gross debt obligations by over $1B by FY2027.
Net Debt / EBITDA Leverage Ratio	**5.5x**	**3.5x**	**3.3x**	Aggressively de-leveraged the balance sheet toward a target range to restore an investment-grade profile.

Valuation Summary & Equity Upside

Discounted Cash Flow (DCF) model yields significant intrinsic value premium over current market baseline.

ENTERPRISE VALUE

$ 63.4B

- Discrete FCF (2025 – 2028) yield a Stage 1 PV of $13.9B
- Stage 2 Terminal Value of $49.5B assumes long-term terminal performance in line with mature industry expectations

EQUITY VALUE

$ 53B

- Enterprise Value offset by $10.4B in net debt

IMPLIED SHARE PRICE

$ 47.29

- Represents a $40 premium over current market trading baseline
- Offers institutional investors a highly asymmetric, low-risk entry point

Rigorous overhead optimisation and structured programming disciplines accelerate free cash flow generation, driving significant intrinsic asset value and providing an exceptional equity upside baseline for shareholders.